

2-4 Political Systems

A

Learning Objective 2-3

Identify the basic differences between democracy and totalitarianism.

political system (The rules of the game on how a country is governed politically.) refers to the rules of the game on how a country is governed politically. At the broadest level, there are two primary political systems:

- (1) democracy and
- (2) totalitarianism.

This section first outlines these two systems and then discusses their ramifications for political risk.